FROM THE EDITOR-IN-CHIEF

Budget-making is a difficult art at the best of times. There are too many moving parts, and not all of them can be mastered at one go. Real-time, dynamic data flows in from a dizzying variety of sectors. Including people: in India, that translates to nearly 1.5 billion individual variables! Plus, these are not exactly the best of times. We are in a decade whose horizons have been darkened by not one but an entire flock of black swans: pandemic, war, tariff shock, global currency anxiety, extreme resource nationalism. Amidst all this has arrived world-altering technology. How do you *plan* when volatility is in surplus and predictability is scarce? It is welcome, therefore, that Union finance minister Nirmala Sitharaman has resisted the impulse to play to the gallery. Instead of producing a document that merely looks and sounds good for one day of breaking news, she has chosen strategic ambition. At a historical juncture that contains promise as well as peril, the need was not for swashbuckling style but for structure. The Union Budget presented on February 1 meets that in a prudent yet creative way, laying down a live grid that caters to India's multiple possibilities.

In this week's cover story, we examine this broad strategic design to see its component parts. At the first level of analysis, three broad heads capture all of it: new economy, connectivity and human resources. These describe the future logic that flows into specific focus areas. Here, the FM has identified 10 sectors: biopharma, semiconductors, rare earths, chemical parks, MSMEs, metro corridors, logistics, lab to workstation, agri-diversity and the 'orange economy'. Some of them are self-evidently 21st century sectors. Our short takes inside will give you data-rich explainers on how all combine a variety of new-age imperatives. You will notice a blend of emerging tech, strategic resources, reliable brick-and-mortar domains, key employment generators and human infrastructure. Even the old economy parts are being outfitted for changing times. The grid does not so much as prioritise between sectors as bring them all under one sweeping ambition: Sitharaman is betting on the future. She's not just handing out money; through her choices, she's giving direction. Many are also keystone sectors: green shoots there will have a multiplier effect on growth, jobs and prosperity. Think of a dynamic mutual fund assuring returns over the long term rather than a day at the casino.

Take biologics and biosimilars, medicines grown from living cells. This frontier industry, worth $12 billion (over Rs 1 lakh crore), gets Rs 10,000 crore to help develop India as a global biopharma hub. The Rs 1,000 crore purse for India Semiconductor Mission 2.0 aims to build up the entire indigenous supply chain for these tiny, complex pieces of digital infrastructure. Self-reliance is again the driving idea behind building up 'rare earths corridors' in states with known resources: insulating India from external supplier shocks after China's export bans. The carbon capture initiative, set to receive Rs 20,000 crore over five years, will help industry adopt the best climate mitigation and zero pollution methods; chemical parks will help by clustering entire ancillary chains within spatially defined zones. Tier 2-3 cities get another expansive plan for urban renewal. Mobility is another key idea. Its material manifestation: high-speed inter-city expressways, freight corridors, inland waterways. India's 76 million micro, small and medium enterprises get a massive Rs 24,566 crore to scale up to become new-age engines of employment: MSME 2.0. A natural synergy ties that to education; the emphasis on future skilling and innovation links university to industry. Artificial intelligence flows into several domains: from farming to tourism to digital creativity.



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Our Board of India Today Economists (BITE) uniformly acknowledge two facets about the budget: one, its tilt away from hype and easy gratification to clear-headed long-termism; two, the creative way in which this is attained within a fiscally responsible approach. Ila Patnaik, former principal economic advisor to the government, notes how the budget "demonstrates genuine fluency with emerging tech...the pillars of India's post-fossil fuel growth strategy". Also, how "limited fiscal space, intelligently deployed, can be more powerful than unconstrained spending" at a time when "global supply chain rewiring creates a once-in-a-generation opening for India". Neelkanth Mishra, chief economist, Axis Bank, cites how capex is budgeted to grow faster than overall spending and spots here a turn towards "quality of expenditure". He flags rising bond yields, though, "despite remarkable fiscal discipline", and advocates better cash management. Ashima Goyal, former member of the RBI's monetary policy committee, too welcomes how the government has eschewed "populist gimmicks" to zero in on a "golden rule: borrow only for investment".

The leitmotif is more for less. That extracts greater productivity, as it were, from every rupee. But this is not thrift for the sake of it: each step is carefully measured so as to open up new miles. India does not have much time, or money, to lose. One miscalculation, one missed chance, one wild swing of the bat aiming for instant glory could prove costly. What we have instead could serve as the prologue to the next 20 years. What does India want to be in 2047, after a century of independence? This budget attempts a genuine answer to that. We await an equally disciplined execution.

(Aroon Purie)